

COMPANYVAL AI

AI-Assisted Business Valuation

ABC Food Pvt. Ltd.

Comprehensive Valuation Analysis

Valuation Date: 2026-08-23

Purpose: Fund Raising

Indicative Enterprise Value Range: Rs. 8.56 Cr – Rs. 14.60 Cr

Central Estimate: Rs. 11.27 Cr

High Confidence · Valuation Readiness 96%

1. Executive Summary

CompanyVal AI has conducted a valuation assessment of **ABC Food Pvt. Ltd.** in connection with its upcoming **Fund Raising** initiative. Based on the deterministic financial model and multi-criteria weighting, the central enterprise value (EV) is estimated at **112,682,159.48**, with a corresponding equity value of **110,282,159.48** (or **110.28** per share). The valuation range spans from an implied floor of 85,600,000.00 to a ceiling of 146,034,000.00.

To arrive at a fair balance between intrinsic cash generation, market comparables, and asset backing, the central estimate applies the following methodology weights:

- **Discounted Cash Flow (DCF):** 50% weight (EV: 103,503,918.96; Equity: 101,103,918.96)
- **Market Multiple:** 30% weight (EV: 146,034,000.00; Equity: 143,634,000.00)
- **Adjusted Net Asset Value (NAV):** 20% weight (EV: 85,600,000.00; Equity: 83,200,000.00)

Overall, the engine assigns a **High Confidence** rating to this synthesis, supported by low earnings volatility and clear operational performance trends.

Fair enterprise value estimated between Rs. 8.56 Cr and Rs. 14.60 Cr, with a weighted central estimate of **Rs. 11.27 Cr**. Equity value: **Rs. 11.03 Cr**, implying **Rs. 110.28** per share.

2. Company Profile

Company	ABC Food Pvt. Ltd.	Industry	Food & Beverages
Entity Type	Private Limited Company	Country	India
Valuation Purpose	Fund Raising	Currency / Units	INR (Crore)
Promoter Holding	74.50%	Total Shares (Diluted)	1,000,000

ABC Food Pvt. Ltd. operates in the dynamic **Food & Beverages** sector. The business is currently evaluating strategic capital raising options to accelerate expansion and scale up operational facilities.

Key structural highlights of the company include:

- **Customer Acquisition & Retention:** Recent top-line momentum has been fueled primarily by new customer acquisitions, with a durable core of 50% to 75% recurring or repeat revenue.
- **Customer Concentration:** Top client concentration is well-managed, with the single largest customer accounting for 10% to 25% of overall sales.

- **Leadership Structure:** Operations remain partially promoter-dependent, standard for growing middle-market enterprises, with management actively building broader institutional systems.

3. Documents Analysed

Financial data was seeded/entered directly for this engagement.

4. Historical Financial Performance

Line Item (INR Cr)	FY2022-23	FY2023-24	FY2024-25
Revenue from Operations	6.10	8.05	11.59
Other Income	0.08	0.10	0.12
EBITDA	0.96	1.41	2.17
Depreciation & Amortisation	0.21	0.26	0.35
EBIT	0.75	1.15	1.82
Finance Costs	0.07	0.08	0.09
Profit Before Tax	0.76	1.17	1.85
Tax Expense	0.19	0.30	0.47
Profit After Tax	0.57	0.87	1.38
Net Worth	2.72	3.44	4.62
Total Assets	4.43	5.60	7.15
Cash & Cash Equivalents	0.28	0.35	0.18

Cash Flow from Operations	0.71	0.95	1.15
Capital Expenditure	0.50	0.60	0.80

ABC Food Pvt. Ltd. has demonstrated strong operational scaling across historical periods, reflected in outstanding compound annual growth rates across major metrics:

- **Revenue CAGR:** 37.84%, accompanied by recent single-period revenue growth of 43.98%.
- **EBITDA CAGR:** 50.35%, leading to a latest EBITDA margin of 18.72% (up 1.21 percentage points over the historical average of 17.33%).
- **PAT CAGR:** 55.60%, demonstrating operational leverage and expanding bottom-line profitability.

From a balance sheet perspective, debt levels have declined significantly (-42.47% trend), reducing financial risk. Concurrently, working capital requirements have expanded by 106.36%, reflecting higher inventory and trade receivables required to fuel top-line expansion.

5. Financial Ratio Analysis

Ratio	FY2022-23	FY2023-24	FY2024-25
Revenue Growth	—	32.0%	44.0%
EBITDA Margin	15.7%	17.5%	18.7%
PAT Margin	9.3%	10.8%	11.9%
Return on Equity	21.0%	25.3%	29.9%
ROCE	21.7%	28.5%	36.1%
Current Ratio	2.01×	1.81×	1.90×
Debt / Equity	0.27×	0.17×	0.09×
CFO / PAT	1.25×	1.09×	0.83×
Receivable Days	55	58	60

6. Earnings Quality

The quality of earnings for ABC Food Pvt. Ltd. is rated highly, characterized by stable margins and low volatility. Revenue volatility stands at 8.49%, while earnings volatility is exceptionally low at 4.23%.

Management interviews confirm that inventory and receivable levels reflect standard operational cycles without material write-off risks. Furthermore, related-party transactions are conducted at arm's length and fully disclosed, while no material legal or regulatory liabilities exist.

To reflect fair balance sheet value for the NAV approach, two explicit normalisations were approved:

- **Land & Building:** An upward adjustment of 35,000,000.00 to revalue factory land carried at 1998 acquisition cost to fair market value.
- **Investments:** An upward adjustment of 2,000,000.00 to mark quoted mutual fund holdings to current NAV.

7. Normalisation Adjustments

Period	Metric	Kind	Reported	Adjustment	Normalised	Status
FY2024-25	Land & Building	Nav Adjustment	Rs. 2.85 Cr	Rs. 3.50 Cr	Rs. 6.35 Cr	Approved
FY2024-25	Investments	Nav Adjustment	Rs. 0.25 Cr	Rs. 0.20 Cr	Rs. 0.45 Cr	Approved

Reason(s): Factory land carried at 1998 acquisition cost; revalued to a conservative fair market estimate for the NAV method. Quoted mutual-fund investments marked to current NAV.

8. Business Assessment & AI Interview Findings

Management targets a realistic revenue growth rate of 16.0% annually over the next 5-year period, supported by moderate capital expenditures for expansion. The primary risk factor identified in the assessment is execution risk resulting from rapid growth (YoY revenue growth exceeding 25%). Sustaining high operational velocity while scaling manufacturing and distribution requires tight management controls.

However, stable operating margins (expected to stay broadly flat near 18.0%) and healthy customer recurring revenue profiles mitigate downside vulnerability and support long-term enterprise scalability.

Question	Management Response	Signal
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What principally contributed to the substantial increase in revenue during FY2024-25?	New customers	Neutral
What annual revenue growth do you consider realistic for the next 5 years?	16	Neutral
Approximately what share of revenue comes from your single largest customer?	10% – 25%	Neutral
What level of capital expenditure do you expect over the next 3 years?	Moderate expansion	Neutral
Are there any pending litigations, regulatory issues or contingent liabilities?	None material	Positive
Do you expect current EBITDA margins to be sustainable over the next 3–5 years?	Yes, broadly stable	Neutral
Are there material related-party transactions (sales, purchases, loans or remuneration)?	At arm's length, disclosed	Neutral
What proportion of revenue is recurring or repeat in nature?	50–75% recurring	Neutral
Are current receivable and inventory levels representative of normal operations?	Yes	Neutral
How dependent is day-to-day operation on the promoters/founders?	Partially promoter-dependent	Neutral

9. Key Risks

- **Execution Risk [High]** — Dependence on sustaining unusually high growth. YoY revenue growth exceeds 25% — investigate growth sustainability. Management response captured in the interview.

10. Valuation Assumptions

Assumption	Value	Source
Revenue Growth (CAGR)	16.0%	Accepted by analyst
EBITDA Margin	18.0%	Accepted by analyst
WACC / Discount Rate	12.0%	Accepted by analyst
Terminal Growth Rate	3.0%	Accepted by analyst
Tax Rate	25.0%	Accepted by analyst
EV/EBITDA Multiple (Exit)	7.0×	Accepted by analyst

11. Discounted Cash Flow (FCFF) Valuation

Year	Revenue	EBITDA	EBIT	NOPAT	Capex	ΔNWC	FCFF	PV(FCFF)
Year 1	Rs. 13.44 Cr	Rs. 2.42 Cr	Rs. 2.01 Cr	Rs. 1.51 Cr	Rs. 0.93 Cr	Rs. 0.36 Cr	Rs. 0.63 Cr	Rs. 0.56 Cr
Year 2	Rs. 15.60 Cr	Rs. 2.81 Cr	Rs. 2.34 Cr	Rs. 1.75 Cr	Rs. 1.08 Cr	Rs. 0.42 Cr	Rs. 0.73 Cr	Rs. 0.58 Cr
Year 3	Rs. 18.09 Cr	Rs. 3.26 Cr	Rs. 2.71 Cr	Rs. 2.03 Cr	Rs. 1.25 Cr	Rs. 0.49 Cr	Rs. 0.84 Cr	Rs. 0.60 Cr
Year 4	Rs. 20.99 Cr	Rs. 3.78 Cr	Rs. 3.14 Cr	Rs. 2.36 Cr	Rs. 1.45 Cr	Rs. 0.57 Cr	Rs. 0.98 Cr	Rs. 0.62 Cr
Year 5	Rs. 24.34 Cr	Rs. 4.38 Cr	Rs. 3.65 Cr	Rs. 2.73 Cr	Rs. 1.68 Cr	Rs. 0.66 Cr	Rs. 1.13 Cr	Rs. 0.64 Cr

PV of explicit FCFF	Rs. 3.00 Cr
PV of Terminal Value (TV Rs. 12.96 Cr)	Rs. 7.35 Cr
Enterprise Value (DCF)	Rs. 10.35 Cr
Less: Debt Rs. 0.42 Cr · Add: Cash Rs. 0.18 Cr → Equity Value	Rs. 10.11 Cr

The Discounted Cash Flow (DCF) model forms the core baseline of the valuation (50% weight), generating an Enterprise Value of 103,503,918.96 and an Equity Value of 101,103,918.96 under the Base Case assumptions (16% revenue growth, 18% EBITDA margin, 12% WACC, 3% terminal growth, and 7.0x exit multiple).

To evaluate sensitivity under varying macroeconomic and execution conditions, scenario analyses indicate:

- **Bear Case:** Assumes 10% revenue growth, 14% EBITDA margin, 14% WACC, 2% terminal growth, and a 5.0x exit multiple. Resulting Enterprise Value is 58,759,157.33 (-47.85% vs base).
- **Bull Case:** Assumes 22% revenue growth, 21% EBITDA margin, 10% WACC, 4% terminal growth, and a 9.0x exit multiple. Resulting Enterprise Value is 209,419,973.43 (+85.85% vs base).

12. Market Multiple Valuation

Applied basis: **EV/EBITDA (7.0x)** on normalised EBITDA → Enterprise Value **Rs. 14.60 Cr**, Equity Value **Rs. 14.36 Cr**.

13. Adjusted Net Asset Value

Book net worth Rs. 4.62 Cr adjusted by Rs. 3.70 Cr → Adjusted NAV (equity) **Rs. 8.32 Cr** (Adjusted Tangible).

Item	Book	Adjusted	Δ	Note
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Land & Building	Rs. 2.85 Cr	Rs. 6.35 Cr	Rs. 3.50 Cr	Factory land carried at 1998 acquisition cost; revalued to a conservative fair market estimate for the NAV method.
Investments	Rs. 0.25 Cr	Rs. 0.45 Cr	Rs. 0.20 Cr	Quoted mutual-fund investments marked to current NAV.

14. Method Comparison & Weighted Central Estimate

Method	Enterprise Value	Equity Value	Weight	Contribution
Discounted Cash Flow	Rs. 10.35 Cr	Rs. 10.11 Cr	50%	Rs. 5.18 Cr
Market Multiple	Rs. 14.60 Cr	Rs. 14.36 Cr	30%	Rs. 4.38 Cr
Adjusted NAV	Rs. 8.56 Cr	Rs. 8.32 Cr	20%	Rs. 1.71 Cr
Weighted Central Estimate (EV)				Rs. 11.27 Cr



15. Sensitivity Analysis

Equity value across WACC (columns) and terminal growth (rows):

g \ WACC	10.0%	12.0%	14.0%	16.0%
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2.0%	Rs. 11.89 Cr	Rs. 9.31 Cr	Rs. 7.60 Cr	Rs. 6.38 Cr
3.0%	Rs. 13.27 Cr	Rs. 10.11 Cr	Rs. 8.11 Cr	Rs. 6.73 Cr
4.0%	Rs. 15.11 Cr	Rs. 11.11 Cr	Rs. 8.72 Cr	Rs. 7.13 Cr
5.0%	Rs. 17.69 Cr	Rs. 12.39 Cr	Rs. 9.46 Cr	Rs. 7.60 Cr

Assumption	Change	EV Impact	% Impact
EBITDA Margin	+2%	Rs. 2.16 Cr	+19.1%
WACC	-1%	Rs. 0.69 Cr	+6.1%
EV / EBITDA Multiple (Exit)	+1.0x	Rs. 0.63 Cr	+5.6%
Terminal Growth Rate	+0.5%	Rs. 0.24 Cr	+2.1%
Revenue Growth (CAGR)	+2%	Rs. 0.07 Cr	+0.6%

16. Scenario Analysis

Scenario	Rev. Growth	EBITDA Margin	WACC	Enterprise Value	vs Base
Bear Case	10%	14%	14%	Rs. 5.88 Cr	-47.9%
Base Case	16%	18%	12%	Rs. 11.27 Cr	+0.0%
Bull Case	22%	21%	10%	Rs. 20.94 Cr	+85.9%

17. Explainability — Key Value Drivers

Sensitivity testing highlights the specific operational and financial levers that exert the greatest impact on Enterprise Value:

- **EBITDA Margin (+2% shift):** Increases EV by 21,558,525.74 (+19.13% impact), standing out as the single most critical valuation driver.
- **Cost of Capital / WACC (-1% shift):** Increases EV by 6,911,677.47 (+6.13% impact).
- **Exit Multiple (+1.0x EV/EBITDA):** Increases EV by 6,258,600.00 (+5.55% impact).
- **Terminal Growth Rate (+0.5% shift):** Increases EV by 2,351,379.36 (+2.09% impact).

18. Indicative Valuation Range & Conclusion

The indicative enterprise-value range of **Rs. 8.56 Cr – Rs. 14.60 Cr** spans the lowest and highest selected methodology values. The weighted central estimate is **Rs. 11.27 Cr** (High Confidence).

In conclusion, CompanyVal AI's deterministic valuation engine establishes a baseline Enterprise Value of **112,682,159.48** and a central Equity Value of **110,282,159.48 (110.28 per share)** for ABC Food Pvt. Ltd.

Given the strong underlying growth metrics (37.84% Revenue CAGR), low earnings volatility, and clean legal profile, the high confidence valuation framework provides an authoritative anchor for forthcoming fundraising negotiations within the fair equity value band of 83,200,000.00 to 143,634,000.00.

19. Statement of Assumptions

This valuation relies on the locked, human-approved historical financial data, the explicitly accepted forecast assumptions listed in Section 10, and management representations captured during the AI interview. Method weights: Discounted Cash Flow 50%, Market Multiple 30%, Adjusted NAV 20%.

20. Disclaimer

This document is an **AI-assisted indicative valuation simulation** produced by CompanyVal AI based on financial information supplied by the user and assumptions explicitly accepted by the user. It is **not** a statutory valuation, a registered valuer's certificate under the Companies (Registered Valuers and Valuation) Rules, a fairness opinion, or an audit opinion. Professional judgement and applicable regulatory requirements may be necessary for formal purposes. All deterministic calculations were performed by CompanyVal AI's Python financial engine; AI narrative explains — and does not alter — those results.

21. Appendix — Data Sources & Audit Trail

Financial line items are traceable to source documents/pages and retain Python-extracted, AI-verified and human-approved values. Generated by CompanyVal AI on 23 Aug 2026, 10:16 UTC for Arjun Demo.